INVESTMENT MEMO • CONFIDENTIAL

Beyond Utility Water Ventures

Fund I Investment Memorandum for prospective limited partners.

Fund: Beyond Utility Water Ventures Fund I
Vintage: 2026
Target Size: $12,500,000
Stage: Pre-Seed & Seed
Sector: Water & Wastewater Technologies
GP: Alex Fairhart
Headquarters: Seattle, WA

SECTION 1

Executive Summary

Beyond Utility Water Ventures Fund I is a $12.5M pre-seed and seed stage venture fund focused exclusively on water and wastewater technologies. The fund targets 10–20 investments in companies building the next generation of water infrastructure — a market expected to require trillions of dollars in investment over the coming decades.

$12.5M	10–20	$500K	7.5%
Target Fund Size	Target Investments	Typical Check Size	Ownership Target

The fund is managed by Alex Fairhart, a water industry professional whose career spans angel investing (~10 years), scientific research, regulatory practice, consulting, and company-building across the water sector. This domain expertise forms the basis of the fund's competitive advantage: differentiated deal sourcing, rigorous in-house technical diligence, and hands-on operational support that generalist investors cannot replicate.

> **Core thesis:** Water infrastructure will look dramatically different over the next 50 years. The companies building that future are being founded today, and they need investors who understand the science, the regulations, and the market dynamics at a level most VCs do not.

Key Fund Highlights

- **Specialized focus** in an underserved market — water technology receives a fraction of climate-tech venture capital despite enormous infrastructure investment needs.
- **Deep domain expertise** enabling proprietary sourcing, technical diligence, and portfolio support that generalist funds cannot provide.
- **Relationship-driven deal access** in a small industry where the GP has long-standing connections to founders, researchers, utilities, and co-investors.
- **50% follow-on reserves** allowing the fund to maintain ownership and double down on top-performing portfolio companies.
- **Active co-investment network** of 18+ venture firms, accelerators, and research organizations across the water technology ecosystem.

- **Weekly engagement** with portfolio companies — including technical advisory, regulatory navigation, industry introductions, and fundraising support.

SECTION 2

Market Opportunity

The global water sector is experiencing a once-in-a-generation transformation driven by aging infrastructure, regulatory expansion, climate variability, and growing acceptance of technology-driven solutions by historically conservative water utilities.

Macro Drivers

Aging infrastructure. The American Society of Civil Engineers and the EPA estimate that the United States alone requires over $1 trillion in water infrastructure investment over the next 25 years. Pipes, treatment facilities, and distribution systems installed mid-20th century are reaching end of life, creating massive demand for both replacement and modernization.

Regulatory expansion. New and emerging regulations around PFAS, lead, microplastics, and other contaminants of concern are creating urgent, compliance-driven demand for new treatment technologies. Utilities must invest regardless of budget constraints — regulatory mandates are non-discretionary spend.

Climate variability. Droughts, flooding, saltwater intrusion, and shifting precipitation patterns are disrupting water availability and quality assumptions that have underpinned water system design for decades. Adaptation requires new monitoring, treatment, and distribution technologies.

Utility technology adoption. Water utilities are increasingly open to piloting and adopting technology solutions. Digital water, smart metering, remote monitoring, and AI-driven operations are moving from early adopter to mainstream adoption. This shift dramatically improves the go-to-market environment for water tech startups.

> **Underserved by venture capital.** Despite a market measured in the trillions, water technology receives a small fraction of the venture capital directed toward energy, mobility, and other climate-tech verticals. This creates a structurally favorable environment for a specialized fund: less competition for deals, more reasonable entry valuations, and founders who are underserved by the existing investor ecosystem.

Why Early-Stage Water Tech

The best water technology companies often start in university labs, research institutions, or with PhD-trained founders addressing problems they've observed firsthand. These founders are technically exceptional but frequently lack business experience, industry connections, and understanding of the specific go-to-market challenges unique to selling into utilities and industrial water users. A specialized

investor who can provide domain-specific support from the earliest stages has a meaningful structural advantage in both deal access and value creation.

SECTION 3

Team & Competitive Advantage

General Partner: Alex Fairhart

Alex Fairhart brings a multi-dimensional background across the water industry that is rare among venture investors. His career has spanned the following roles, each contributing to the fund's ability to source, evaluate, and support water technology companies:

- **Angel Investor** — Approximately 10 years of direct investing in water technology startups, including ~5 direct angel investments and ~5 secondary share purchases from early employees of water tech companies.
- **Scientist & Academic** — Research experience across water treatment, infrastructure systems, and environmental science. This background enables rigorous in-house technical diligence that most VCs must outsource or skip entirely.
- **Regulatory Expert** — Deep knowledge of water quality regulations, compliance pathways, and the regulatory landscape. This is critical for evaluating both the market opportunity (regulatory tailwinds) and risk profile (regulatory barriers) of potential investments.
- **Founder & Business Owner** — Direct experience building and operating companies in the water sector, providing practical empathy for the challenges portfolio founders face.
- **Consultant** — Advisory work with water companies on technical diligence, market entry, and growth strategy.

Why This Background Matters

The water technology sector is small, specialized, and relationship-driven. Founders, researchers, utilities, and regulators often know each other. A GP who has worked across multiple nodes of this ecosystem — research, operations, investing, regulatory — has structural advantages in three areas that directly drive fund returns:

1. Deal Access. Long-standing relationships with founders, university labs, accelerators, and co-investors in the water space generate proprietary deal flow. In a sector where the best companies are often unknown to

2. Evaluation Quality. The ability to conduct technical diligence in-house — assessing treatment chemistry, systems engineering, IP strategy, and regulatory risk — enables faster and more accurate

generalist VCs, this network is a primary source of competitive advantage.

investment decisions with lower reliance on external consultants.

3. Portfolio Value Creation. Domain-specific support — regulatory navigation, utility introductions, technical advisory, and water-sector hiring — creates measurable value for portfolio companies and increases the probability of follow-on fundraising and successful exits.

Team Structure

Alex Fairhart serves as the sole full-time General Partner. The team is augmented by dedicated hours from expert partners and external technical and industry advisors engaged as needed for specific investments and portfolio company support.

SECTION 4

Investment Strategy & Process

Thesis

The fund invests at the Pre-Seed and Seed stages in companies developing water and wastewater technologies. The evaluation framework weights approximately **70% market opportunity** (problem urgency, market size, regulatory tailwind, customer willingness to pay) and **30% financial metrics** (unit economics, go-to-market credibility, documented traction). The fund invests in pre-revenue companies where we have conviction in the founder, the technology, and the market.

Selection Criteria

- **Market domain expertise** — Does the founder deeply understand the water problem they're solving?
- **Team traits** — Leadership, adaptability, and domain credibility. 50–75% of investments expected to be first-time founders.
- **Market size & urgency** — Is there a large, growing, or regulation-driven market?
- **Believable go-to-market** — Documented steps toward traction, not just a TAM slide. This is the most common reason we pass on otherwise promising companies.
- **IP strategy** — Strong defensibility through patents, proprietary data, or technical moats.

Investment Process

1. **Initial Screening**
   Problem clarity, sector alignment, founder-market fit
2. **Team Evaluation**
   Informal references, domain expertise, leadership
3. **Technical Review**
   In-person demo, IP review, competitive analysis
4. **Market Validation**
   Willingness to pay, regulatory drivers, TAM
5. **Economics & Traction**
   Unit economics, documented commercial progress
6. **Legal & Structure**
   Cap table, IP ownership, corporate structure
7. **Downside Analysis**
   Kill-the-deal exercise: what risks and mitigants?

IC **Investment Decision**
Final approval and term negotiation

Average diligence depth is **20–40 hours per deal**. Technical diligence is always conducted in-house, with external experts engaged when needed for specialized domains. The funnel conversion rate is approximately **5–10%** from initial screening to term sheet.

SECTION 5

Portfolio Construction

10–20	50%	~3 yr	5–7 yr
Target Investments	Follow-on Reserves	Investment Period	Target Exit Horizon

The fund targets a concentrated portfolio of 10–20 pre-seed and seed stage investments, with typical initial check sizes of approximately $500,000 targeting ~7.5% ownership. Fifty percent of fund capital is reserved for follow-on investments in the best-performing portfolio companies, allowing the fund to maintain ownership through subsequent rounds and allocate additional capital to emerging winners.

Primary investments will be deployed over an approximately 3-year investment period, with follow-on capital deployed through years 3–5. The anticipated exit timeline is 5–7 years per investment. Exit pathways in water technology include strategic acquisitions by large utilities, industrial conglomerates, and established water technology companies, as well as follow-on funding rounds led by later-stage investors in our co-investment network.

Portfolio Engagement

The GP engages with portfolio companies on a weekly basis, providing:

- **Technical advisory** — Ongoing R&D guidance, product-market fit validation, and testing strategy
- **Regulatory navigation** — Compliance pathway mapping, permitting support, and policy monitoring
- **Business development** — Warm introductions to utilities, industrial buyers, and channel partners
- **Fundraising support** — Investor introductions, narrative development, and round structuring
- **Hiring & talent** — Access to water-sector talent networks for hard-to-fill technical roles

SECTION 6

Fund Terms

TERM	DETAIL
Fund Name	Beyond Utility Water Ventures Fund I
Vintage	2026

TERM	DETAIL
Target Fund Size	$12,500,000
First Close Target	April 10, 2026
Stage Focus	Pre-Seed & Seed
Sector Focus	Water & wastewater technologies, next-gen water infrastructure
Typical Check Size	~$500,000
Target Ownership	~7.5% per investment
Follow-on Reserves	50% of fund capital
Management Fee	TBD
Carried Interest	TBD
GP Commitment	TBD
Fund Duration	10 years (with possible extensions)
Headquarters	Seattle, WA

SECTION 7

Dealflow Network

The fund maintains active dealflow partnerships with 18 venture firms, strategic investors, accelerators, and research organizations across the water technology ecosystem. These relationships serve as both sourcing channels and co-investment partners for syndicated deals.

Co-Investment & Venture Partners

FIRM	TYPE
HG Ventures	Venture Capital
Burnt Island Ventures	Venture Capital
Suma Capital	Impact Investment
Echo River Capital	Venture Capital
Skion Water	Strategic Investment
Emerald Technology Ventures	Venture Capital
Archimed	Private Equity
BDA Partners	M&A Advisory
CRH Ventures	Corporate Venture Capital
Aqualateral	Water Investment
Mazarine	Venture Capital
Natural Ventures	Venture Capital
Pure Terra Ventures	Climate Tech VC
Breakthrough Energy Ventures	Climate Venture Capital

Accelerators & Research Networks

ORGANIZATION	ROLE
Xylem Innovation Labs	Corporate Innovation
Imagine H2O	Water Accelerator
BlueTech Research	Market Intelligence
Isle Utilities	Technology Scouting

> **Syndication strategy:** The fund's pre-seed and seed positioning creates natural syndication pathways. Early relationships with portfolio companies give co-investment partners priority access to later-stage rounds, incentivizing ongoing dealflow sharing and collaboration.

SECTION 8

Founder References

The following individuals have agreed to serve as references regarding the GP's capabilities, character, and value-add as an investor and advisor in the water technology sector:

- Aaron Tartakovsky
- Sean McFetridge
- Ruby Lai
- Harry Brooksbank
- Brad Roan
- Vidal Guitart
- Noemi Florea

Contact details available upon request.

SECTION 9

Risk Factors & Mitigants

RISK	MITIGANT
First-time fund manager	10+ years of angel investing in the sector, extensive domain expertise, and established industry relationships that reduce the cold-start problem typical of emerging managers. The GP has direct investing experience — this is a formalization and scaling of an existing practice, not a new activity.
Solo GP / key person risk	Augmented by expert partners with dedicated hours, external advisors, and a co-investment network that provides collaborative diligence. The fund size ($12.5M) is appropriately scaled for a single GP managing a concentrated portfolio of 10–20 investments.
Early-stage technology risk	In-house technical diligence capability (20–40 hours per deal) and deep domain knowledge allow more accurate assessment of technology viability than generalist investors. IP strategy is a core selection criterion.
Long sales cycles in water	This is a known characteristic of the sector. The GP's evaluation framework prioritizes believable go-to-market strategies and documented steps toward traction specifically because water utility sales cycles can be 12–24+ months.
Concentrated sector exposure	The water sector itself is diversifying — treatment, monitoring, distribution, digital infrastructure, industrial reuse — providing sub-sector diversification within the portfolio. Regulatory tailwinds (PFAS, lead, etc.) create non-discretionary demand that is relatively recession-resistant.
Limited track record data	The GP's angel portfolio has not yet produced exits. However, the fund's structural advantages — domain expertise, deal access, portfolio support — are demonstrable through founder references and the breadth of the dealflow partnership network.

SECTION 10

Conclusion

Beyond Utility Water Ventures Fund I represents an opportunity to invest alongside a deeply specialized operator in one of the most structurally attractive and underserved sectors in

venture capital.

The water industry is entering a period of generational transformation. Regulatory mandates, infrastructure failure, and climate variability are creating urgent, non-discretionary demand for new technologies. The companies building solutions to these problems need investors who understand the science, the regulations, the customers, and the go-to-market realities unique to water.

This fund is purpose-built to be that investor — with the domain expertise, the industry network, and the hands-on engagement model to support founders from first check to exit.

Alex Fairhart

General Partner • Beyond Utility Water Ventures

Seattle, WA